

1 ENGROSSED HOUSE
2 BILL NO. 3173

By: Archer, Luttrell, Waldron,
Alonso-Sandoval, Hefner,
Deck, and Menz of the House

3
4 and

Jech of the Senate
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7 An Act relating to energy; creating the Well
8 Repurposing Act; defining terms; allowing Corporation
9 Commission or the Department of Environmental Quality
10 to authorize certain conversion of particular oil and
11 gas wells; authorizing the establishment of fees and
12 financial assurance; requiring certain agreement be
13 in place; making certain distinction for well used
14 for energy storage or geothermal energy development;
15 requiring plugging and abandonment of wells if
16 storage operations cease; authorizing the
17 promulgation of rules; providing for codification;
18 and providing an effective date.
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BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 950 of Title 52, unless there is
created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Well
Repurposing Act".

SECTION 2. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 951 of Title 52, unless there is
created a duplication in numbering, reads as follows:

As used in the Well Repurposing Act:

1. "Energy storage" means the ability to capture energy sources at one time for use at a later time;

2. "Geothermal energy development" means the development of geothermal resources; and

3. "Geothermal resources" means the natural heat of the earth in excess of two hundred fifty degrees (250°) Fahrenheit, or the energy, in whatever form, below the surface of the earth present in, resulting from, created by, or that may be extracted from this natural heat in excess of two hundred fifty degrees (250°) Fahrenheit, and all minerals in solution or other products obtained from naturally heated fluids, brines, associated gases and steam, in whatever form, found below the surface of the earth, but excluding oil, hydrocarbon gas and other hydrocarbon substances, and excluding the heating and cooling capacity of the earth not resulting from the natural heat of the earth in excess of two hundred fifty degrees (250°) Fahrenheit, as may be used for the heating and cooling of buildings through an onsite geo-exchange heat pump or similar onsite system.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 952 of Title 52, unless there is created a duplication in numbering, reads as follows:

Either the Corporation Commission or the Department of Environmental Quality (DEQ) may authorize the conversion of an

1 orphaned or abandoned oil or gas well into a facility that provides
2 or supports energy storage or geothermal energy development. When
3 authorizing such a conversion, either the Commission or DEQ may
4 establish fees and financial assurance requirements specific to the
5 energy storage or geothermal development uses. Activities
6 authorized pursuant to the Well Repurposing Act shall not commence
7 until a new written surface damage agreement with the surface owner
8 of record is executed pursuant to Sections 318.2 through 318.9 of
9 Title 52 of the Oklahoma Statutes.

10 SECTION 4. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section 953 of Title 52, unless there is
12 created a duplication in numbering, reads as follows:

13 A. An orphaned or abandoned oil or gas well that is authorized
14 by either the Corporation Commission or the Department of
15 Environmental Quality (DEQ) pursuant to the Well Repurposing Act to
16 be used for energy storage or geothermal energy development and that
17 is actively operated for energy storage or geothermal energy
18 development shall not be considered an orphaned or abandoned well
19 and shall be considered a well that is being used for beneficial
20 purposes.

21 B. If an orphaned or abandoned oil or gas well authorized for
22 energy storage or geothermal energy development ceases storage
23 operations or geothermal energy development for twelve (12) months
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1 or longer, the well shall be plugged and abandoned pursuant to state
2 law and rules issued by either the Corporation Commission or DEQ.

3 C. The Commission and DEQ may promulgate rules to implement the
4 provisions of this act.

5 SECTION 5. This act shall become effective November 1, 2026.

6 Passed the House of Representatives the 16th day of March, 2026.

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Presiding Officer of the House
of Representatives

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11 Passed the Senate the _____ day of _____, 2026.

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Presiding Officer of the Senate

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